

The Complete Financial Guide for Young Couples

be true for the investments of any age group.

According to the Social Security Department, the average 65-year-old man in America is worth about \$100. In other words, if you cashed out all of his assets and liquidated all of his liabilities, he would be worth about \$100.

Proverbs 6:6 says, "Go to the ant, O sluggard, and observe her ways and be wise, which having no chief, officer, or ruler, prepares her food in the summer and gathers her provision in the harvest." These are the harvest years of your life. Remember that the winter years are coming.

PRESERVATION GOAL. Let's assume that you have inherited \$100,000 and you want to preserve that money for a particular purpose at a later date, perhaps education, retirement, or charitable donation. A couple starting out with \$100,000 will have a different plan than a couple starting out from zero. A couple starting out at zero must first develop a surplus and then look for investments to help it grow. The couple with a \$100,000 windfall should look first to preservation of the assets. I recall what Will Rogers once said: "I am not concerned so much with the return *on* my money, as I am with the return *of* my money." Typically the investment program for a one-time windfall will be very conservative. The goal is not to maximize the growth, but rather minimize the losses and achieve a reasonable return.

Such is also the case for those who can put away sizable amounts from their current incomes. Doctors are a good example. The majority of money that most doctors have accumulated was earned through their primary profession, medicine. Most of what they lose is through speculative investments. The plan that most doctors need should be focused on the preservation of capital with a reasonable degree of growth to keep the value of their money current. They do not need high-risk investments.

EDUCATION GOAL. Unlike those who are trying to preserve a windfall, a family with their childrens' education in mind must think more in terms of growth, again depending on the amount available to invest and the duration it can be invested.